Accounting and its function

Accounting is the art of recording, classifying and summarizing in a significant manner and in term of money, transactions are events which are in part at least, of financial character and interpreting the result thereof.

* data collection & collection * data evolution * analytical and interpretative * Data reporting * accounting theory

Role of accountant

* engaged in account keeping * functionary who aids control
* conscience of an organisation * information management for internal & external use * fiscal adviser
* verify, authenticates and certified the account of an entity

accounting standard

as logical reasoning in form of a set of ~~board~~ broad principle that
i) provide a general frame of reference by which accounting practice can be evaluted
ii) guide the development of new ~~poli~~ practices and procedures.

cost concept

This means that as asset purchase transaction are captured at their original purchase price and this cost is the basis of for all subsequent accounting for the asset.

Accural concept

endeavour which distinct the receipt of cash and the right to received it and the payment of cash and the legal obiligation to pay it. in the practical business transaction scenarios the obligation to pay and the actual movement of cash may not happen at the same time and the accural concept recognises this distinction.

materiality concept

The cummulative value of expenditure on stationery be classified as expenses for the said period in which these expenses got made

consistency concept

It is decrease in value of assets caused by wear & tear and passage of time.

accounting ~~standard~~ equation

* ↑ assest Debit
↓ assest credit
* ↑ liability credit
↓ liability Debit
* ↑ owner capital credit
↓ owner capital Debit
* ↑ expenses / loss debit
↓ expenses / loss credit
* ↑ revenue / income credit
↓ revenue / incom Debit

Ratio analysis

is the quantitative interpetation of the company's financial ~~problem~~ performance.

categories of Ratio

1) solvency ratio → refered to as the firm's ability to meet its long term debt obligation
2) Liquidity ratio → for 1 year only short term solvency ratio
3) profitability ratio → assed the adequacy of the profit earned by the company and also to estimate the ~~trade~~ trend of profitability over a period of time.

capital investment

To identify investment opportunity, gathering of investment proposal Decision making proces in capital budgeting, capital budget preparations and appropriation, implementation, Review and performance.

Types of Investment decision

mutually exclusive investment, independent investment, contigent investment

Accounting rate of return

uses the accounting information as revealed by financial statement to measures the profitability of an investment. is the ratio of avera ge after tax profit divided by average investment

* easy to calculate, based on profit

Accounting

art of recording classifying, summarizing in significant manner and in term of money

→ Scope

Data creation and collection , Data evalution analytical and interpretative work , Data reporting accounting theory.

Business entity concept

The accounting subject distinct business from the owner as it treats them as two separate entities

money measurement concept

we capture those factual transaction which are monetary in nature cannot capture the qualitative aspect

Dual aspect concept

every business transaction carries a' two fold effect' as it is traditionally and correctly phrased that "every receiver is also a giver and every giver is also a receiver".

concept of conservatism

a condition or a situation , the ultimate outcomes of which gain or loss - cannot be determined accurately at present

materiality concept

classification or differentiation between adudging an event as material or immaterials rests with the sense of professionalism and situation of the accountant

consistency concept

International financial reporting

are designed to serve as a common global language of business affairs so that accounts of various companies are understandable and comparable across international boundries

1) easy access to global financial capital market
2) cross border trade & investments
3) Eliminate differential reporting
4) improve quality & comparability of financial reporting
5) Accounting profession.

Profit & loss Account

To Gross loss	By profit
To Rent, Rates, taxes	By Discount Received
To salaries	By commission Received
To insurance	By Bank interest
To maintenance & Repair	By Bad Debts recover
To Depreciation	By sale of assets.
To salaries	To Net Loss
To carriage fardward	
To Bad debts	
To provision for bad debts	
To loss	
To Net profit	

Balance sheet

Liabilities	Assets
capital	Goodwill
+Net profit	patents & Trade marks
- Drawing	furniture and fittings
Bills payable	plant & machinery
creditors	unexpired expenses
Bank overdraft	stock in trade
outstanding expenses	sundary debtors
income received in advance	investment
Bills payble	Bills Receivables
Loan	cash Bank & hand

Funds Flow statement

one of the tools for analysing the financial position of a firm. It is a statement showing how funds are obtained and utilised for various business activities in a specific period is called fund flow statement

→ construction

sources of information

preparing procedure.

→ source of fund

Issues Debentures   Long term Loan

funds from operations activities , income from investment

dividend, interest, , sale of fixed assets

fund flow statement

<u>Source of fund</u>	Application of fund
1) Issues of shares	Redemption of Debentures
2) Issues of debentures	Repayment of long term loan
Long term loan raised	purchase of fixed asset
fund from operation	fund lost in operation
sale of fixed asset	sale of investment
dividend, interest	payment of dividend, interest
donation	increase in working capital.
Decrease in working capital	

CASH FLOW STATEMENT

is a financial statement that shows how the cash position has changed over time by identifying the main sources and uses of cash.

objective:-

Discloses the various sources of cash

Discloses the various uses of cash

Helps in ~~different~~ efficient cash management

Discloses the success or failure of cash planning

Helps in internal financial management

component of cash flow statement

1> cash flow from operating activities
2> cash flow from investing activities
3) cash flow from financing activities

* cash flow statement

+ cash received from customer
- cash payment for inventory
- cash paid to employees
* cash paid for operating expenses
- Tax paid.

categories of ratio

- solvency ratio
  firms ability to meet its long term debt obligation
- Liquidity Ratio
  short term solvency ratio
- Activity ratio
  turnover ratio
  $\frac{\text{sales}}{\text{Average inventory}}$
- profitability ratio
  assess the adequacy of the profit earned
- market test Ratio
  firm's stock price to its earning and book value per share.

stages in capital Budgeting process.

1> identify investment opportunities
2> Gathering of investment proposal
3) Decision making process in capital budgeting
4) capital budget preparation and appropriation
5) Implementation
6) Review of performance

Importance of capital investment decision

1> They influence the firms growth in the long run
2) Affect the risk of the firm
3) Involve commitment of large amount of funds
4) They are among most difficult decision to make
5) They are irreversible or reversible at substantial loss.

Types of investment decision

1) mutually exclusive Investment - choosing among different alternative
2) Independent investment - choosing of one of the capital Investment will not affect the decision making process for other investments
3) contingent Investment - decision regarding one project is dependent on the decision regarding another project.

Accounting Rate of Return

measures the profitability of an investment. It is the ratio of average after tax profit divided by average investment

$$ARR = \frac{\text{Average Income}}{\text{Average Investment}}$$

Investment evaluation criteria

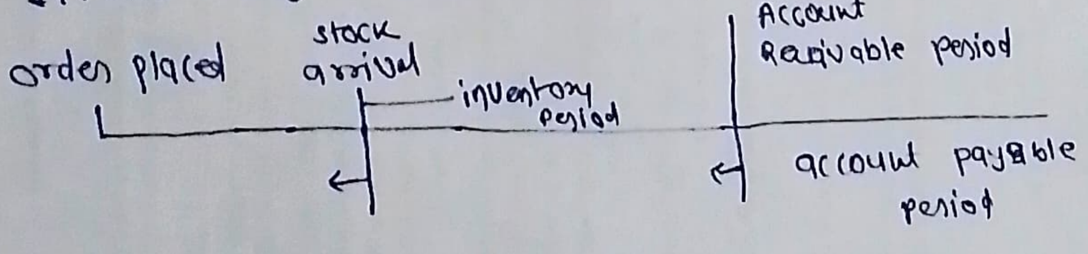
1) estimation of cash flow
2) estimation of the required rate of return
3) application of a decision rule for making the choice

working capital decision

The amount of money required to cover your operating cost
1) gross working capital → total of all current asset
2) net working capital → total of all current liabilities

operating cycle concept

the time it takes a company to buy goods, sell them and received cash from the sales of said goods.
It's how long it takes a company to turn its inventory into cash



factor influencing working capital

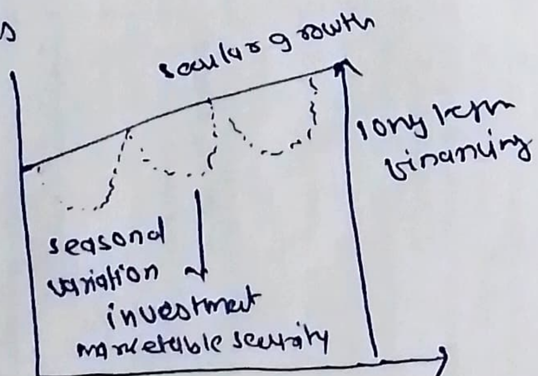
nature of business, Business cycle, seasonal variations
size of business, changes of technology, length of working capital cycle
firms credit policy

source of working capital

- Spontaneous Source
  - trade credit
    - sundry creditors
    - Bills
- Negotiated Sources
  - Short term
    - internal
      - provision for tax & dividend
    - external
      - Bank overdraft
      - cash credit
      - trade deposite
  - long term
    - Retained profit
    - share capital
    - long term loan

strategies for working capital

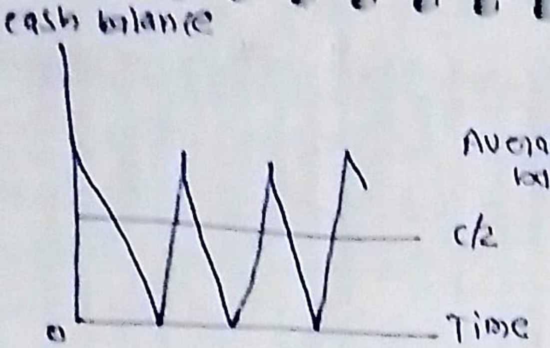
1) conservative working capital strategy
suggest to carring high level of current assets in relation to sales



2) Aggressive working capital strategy
current asset are maintained just to meet the current liabilities without keeping any cushion for the variation in working capital needs.

Baumols' model

- the firms is able to fore cast its cash needs with certainity
- The opportunity cost of holding cash is known and it does not change over time
- The transaction cost is constant



$$C^* = \sqrt{\frac{2bT}{I}}$$

credit policy variables

objective is to stimulate sales as well as control expenses and bad debts associated with granting credit

a) credit standard → granting of credit
b) credit period → length of time
c) cash discount → induce them to make payment
d) collection efforts

Inventory management

helps companies to identify which and how much stock to oder at what time

objective → operational
objective → financial

operating objective
- to ensure continous supply of material
- to ensure uninterrupted production
- to minimize risk & losses
- to ensure better customer services
- to avoid stock out danger

financial objective
- to minimize investment
- to minimize inventory related cost
- to ensure economy in purchasing

Techniques of inventory control

planned approach of ascertaining when to buy, how much to buy and how to ~~buy~~ stock so that cost involving buying & storing are optimally minimum, without interrupting production or affecting sales.

*** Traditional Techniques**

1) inventory control ratio

overall inventory turnover Ratio

$$\frac{\text{cost of goods sold}}{\text{Average total inventories at cost}}$$

2) Perpetual inventory system

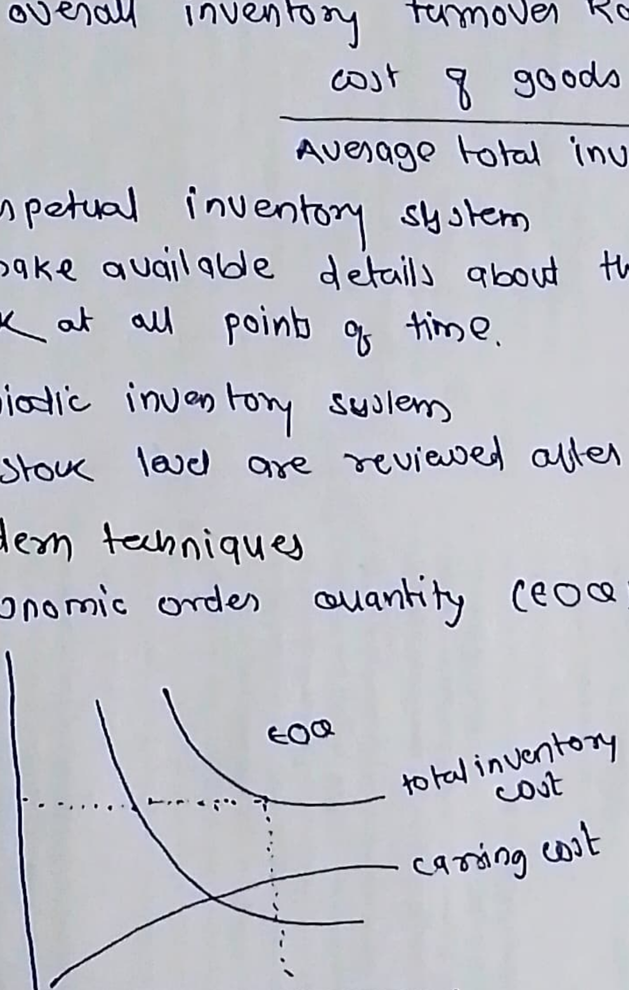
to make available details about the quantity and value of stock at all points of time.

3) periodic inventory system

all stock level are reviewed after a fixed time interval.

*** modern techniques**

1) economic order quantity (EOQ) graphical method



$$TC = \frac{U}{Q} \times f + \frac{Q}{2} \times P \times C$$

2) quality Discount and oder quantity

$$\Delta q = UD + \left[\frac{U}{Q^*} - \frac{U}{Q'}\right] f - \left[\frac{Q'(P-D)C}{2} - \frac{Q^* PC}{2}\right]$$

3) Selective inventory control

4) ABC Analysis (always better control